AR
2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

DoorDash

1 June 2026 · the qualitative

$159.00

NASDAQ : DASH · $66B mkt cap · 415M sh · $5.5B cash, zero debt · ~$5.5B net cash; ~415M basic / ~442M diluted shares (SBC dilutes ~$1.3B/yr); GOV $102B / revenue $13.72B FY25 (+27% GOV); $1.8B FCF; first +FY GAAP income 2024; Down ~40% from highs; advertising ~$1B run-rate, Deliveroo+Wolt international, ~33x EV/FCF

Mature-Company DCF

THE CENTRAL QUESTION

Is DoorDash a dominant local-commerce network whose profitability is about to inflect — or a high-SBC, ~33x-FCF delivery business punished for spending ahead of returns?

DoorDash trades at ~$66B (≈$159/sh, down ~40% from $285) — ~33x EV/FCF on $1.8B FCF, but GOV is still compounding +27% ($102B) and adj-EBITDA hit $2.8B (~2.7% of GOV). The crash is a margin/SBC problem, not a growth one. The mature DCF asks whether advertising (~$1B run-rate) + New-Verticals (grocery) unit economics + international (Deliveroo/Wolt) inflect the 2.4%-of-GOV margin upward, against ~$1.3B/yr SBC dilution. The finding: roughly fair — the 20%+ growth + margin inflection are offset by the premium FCF multiple + dilution.

PROBABILITY-WEIGHTED EXPECTED VALUE

$156.70 expected fair value today

-1.4% vs spot $159.00

FORWARD COMPOUNDED VALUE

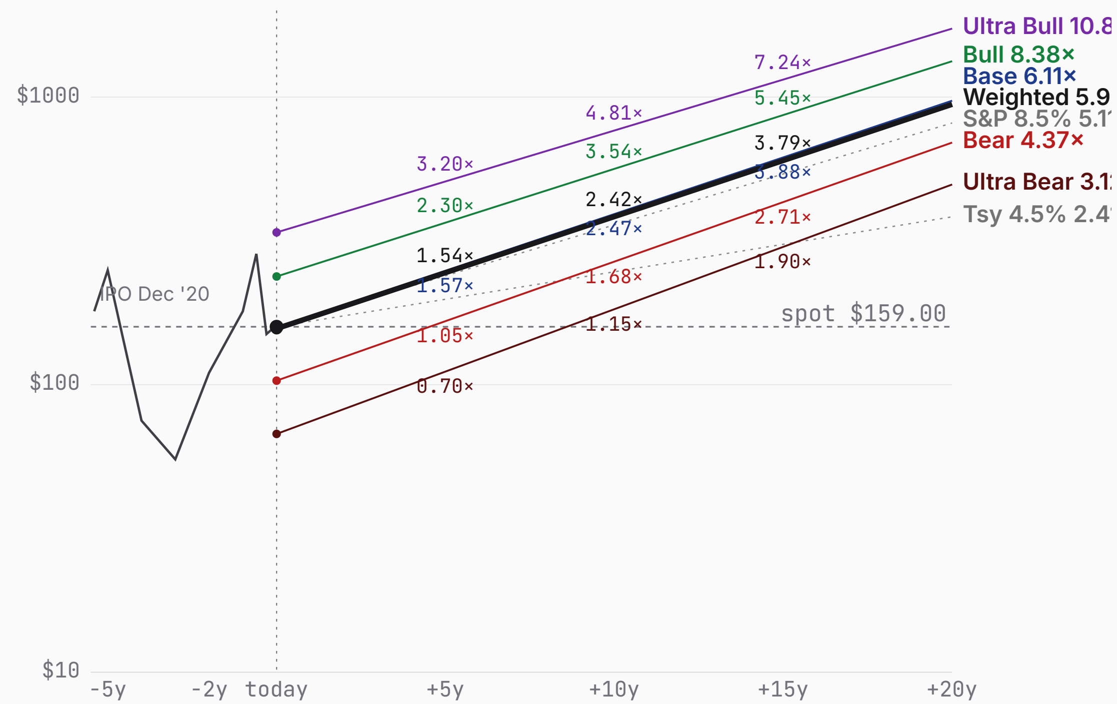
+5y	+10y	+15y	+20y
$245.23	$384.04	$601.82	$943.71
1.54× spot	2.42× spot	3.79× spot	5.94× spot

WEIGHTING RATIONALE

Ultra Bear 15% Growth slows; margin stalls; SBC; ~$67 (-58%).
Bear 27% Decel; modest inflection; ~$103 (-35%).
Base 33% Margin inflects; ads scale; ~$158 (-1%).
Bull 18% Ads+grocery scale; ~$238 (+50%).
Ultra Bull 7% Dominant local-commerce platform; ~$338 (+113%).

Bull (18%) + Ultra Bull (7%) together contribute $66.49 — 42% of the $156.70 expected value despite 25% combined probability. Today's spot ($159.00) sits 1% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$67.43	$103.28	$158.19	$237.79	$338.45
-57.6% vs spot	-35.0% vs spot	-0.5% vs spot	+49.6% vs spot	+112.9% vs spot
CAGR +6.2% WACC 10.5%	CAGR +10.0% WACC 10.0%	CAGR +12.4% WACC 9.5%	CAGR +15.0% WACC 9.0%	CAGR +18.0% WACC 8.5%
CAGR +6.2% Prob 15%	CAGR +10.0% Prob 27%	CAGR +12.4% Prob 33%	CAGR +15.0% Prob 18%	CAGR +18.0% Prob 7%
Growth slows; margin stalls; SBC dilutes.	Decelerates; modest margin inflection.	Margin inflects; ads scale; ~15% growth.	Ads + grocery scale; margin to ~5% of GOV.	Dominant local-commerce platform.

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DoorDash scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 27% Base 33% Bull 18% Ultra Bull 7% · Weighted expected $156.70 (-1.4% vs spot)

ULTRA BEAR $67.43

-57.6% vs spot

Probability 15%

Growth slows; margin stalls; SBC dilutes.

WHY 15%

The bear: the margin inflection stalls and SBC dilution + Uber competition cap returns. 15% weight on spending-ahead-of-returns persisting.

WHAT HAPPENS

US restaurant delivery saturates, New Verticals stay margin-dilutive, Uber Eats presses, and ~$1.3B/yr SBC keeps diluting. GOV growth decays toward high-single while the 2.4%-of-GOV margin stalls.

DCF ~$67 (-58%) — a no-margin-inflection, SBC-heavy delivery business at a premium multiple de-rates hard.

BEAR $103.28

-35.0% vs spot

Probability 27%

Decelerates; modest margin inflection.

WHY 27%

Growth decelerates and the margin ramp is slower than the bull case. 27% weight — a plausible 'grows but stays expensive' path.

WHAT HAPPENS

GOV decelerates to low-double-digits and the margin inflects only modestly as ads scale but New Verticals stay competitive; SBC dilution continues.

DCF ~$103 (-35%) — still below spot; the premium FCF multiple isn't covered by a modest inflection.

BASE $158.19

-0.5% vs spot

Probability 33%

Margin inflects; ads scale; ~15% growth.

WHY 33%

Requires the guided 2H'26 margin inflection + ads scaling + mid-teens GOV. 33% as the central, near-spot outcome — but SBC caps the per-share.

WHAT HAPPENS

The modal path: advertising scales past $1B, New-Verticals (grocery) unit economics turn positive in 2H'26, and the network compounds GOV mid-teens — lifting the FCF margin toward 20%.

DCF ~$158 (-1%) — roughly fair; the 20%+ growth + margin inflection just cover the ~33x FCF entry after the de-rate.

BULL $237.79

+49.6% vs spot

Probability 18%

Ads + grocery scale; margin to ~5% of GOV.

WHY 18%

The margin inflection compounds (ads + grocery + international) and growth stays high-teens. ~18%; the bull the de-rate is discounting away.

WHAT HAPPENS

Advertising + grocery + international (Deliveroo/Wolt) drive the GOV margin toward 4-5%, GOV compounds high-teens, and SBC moderates as a share of revenue.

DCF ~$238 (+50%) — the local-commerce network re-rates as the margin inflection proves durable.

ULTRA BULL $338.45

+112.9% vs spot

Probability 7%

Dominant local-commerce platform.

WHY 7%

Full local-commerce dominance + a high-margin ad/autonomy mix. ~7%, the asymmetric upside.

WHAT HAPPENS

DoorDash becomes the dominant local-commerce platform (restaurants + grocery + retail + ads + autonomy optionality) compounding GOV ~20% at peak network margins.

DCF ~$338 (+113%) — the local-commerce 'everything' platform; ~7% probability.

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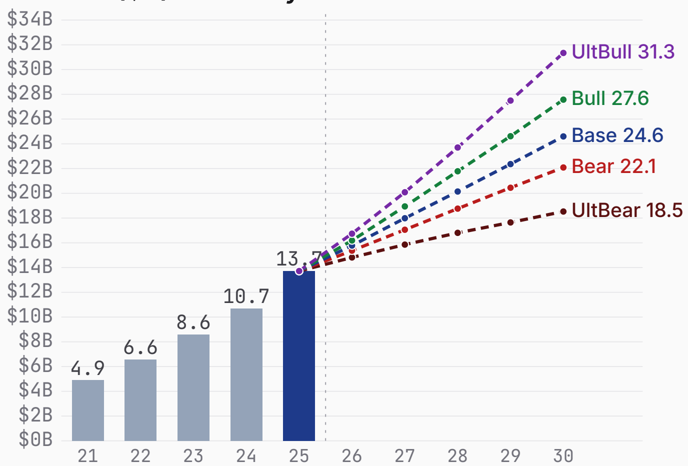
1 June 2026 · the snapshot

DoorDash business snapshot

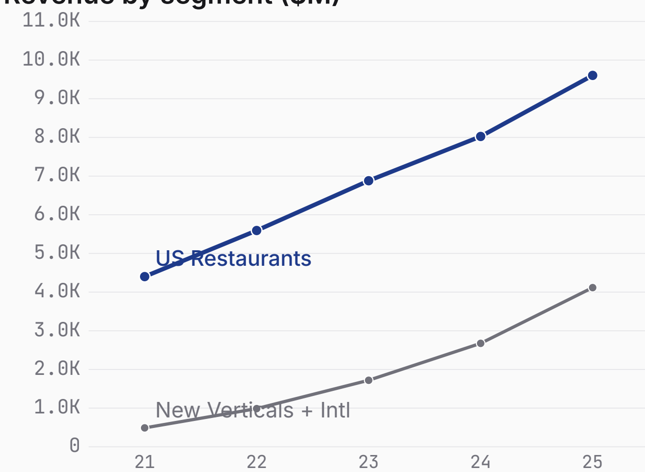
Bear $103.28 Base $158.19 Bull $237.79

FY21-FY25 history + FY26-FY30 scenario projections · calendar fiscal year · FY2025 10-K + Q1'26

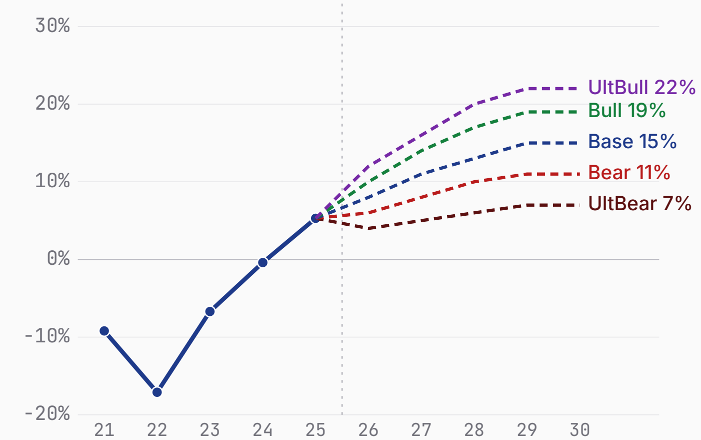
Revenue ($B) — history + scenarios to FY30



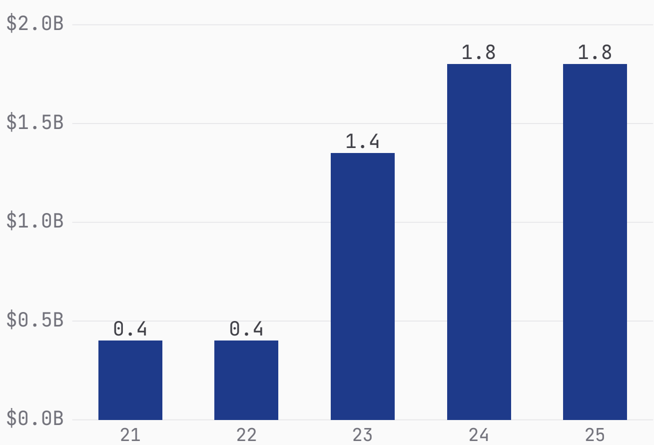
Revenue by segment ($M)



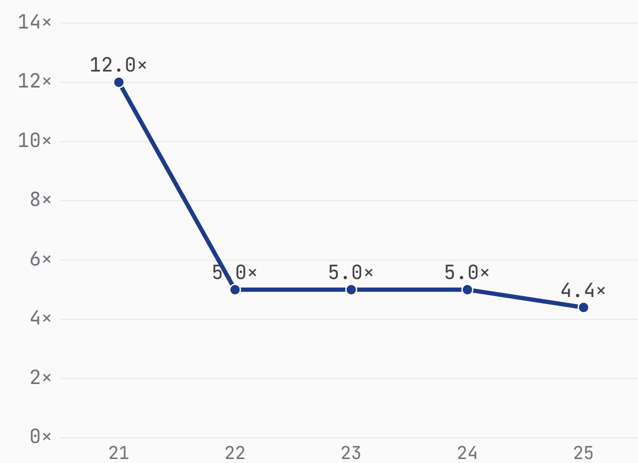
Op margin — history + scenarios



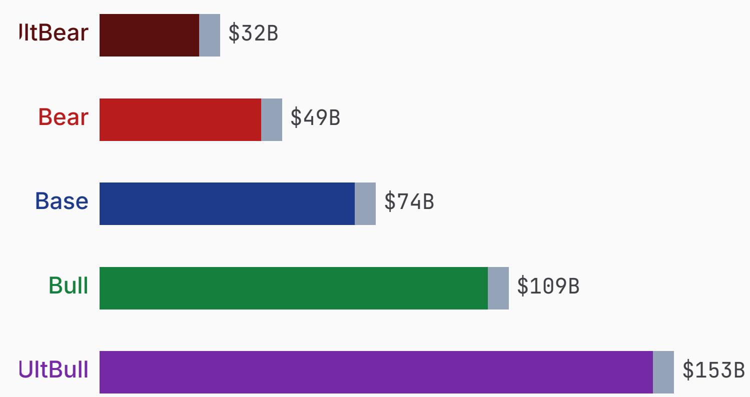
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Op EV · cash · special assets

Sources: DoorDash FY2025 10-K (GOV $102B, revenue $13.72B, adj EBITDA $2.8B, FCF $1.8B, net cash $5.5B), Q1'26 (GOV +37% incl. Deliveroo). Revenue as a growth-rate path off FY25; FCF = revenue x FCF margin; SBC modeled via rising final_shares (dilution); Gordon terminal. EV/FCF vs UBER/Instacart.

DoorDash 7 Powers · the moat, scored

Bear $103.28 Base $158.19 Bull $237.79

Arena. Local commerce / food delivery — DoorDash (US #1, ~60% restaurant share, New Verticals + ads + Wolt/Deliveroo) vs Uber Eats, Instacart (grocery), Grubhub; defending a network + scale Power as it spends to inflect margins.

POWER AUDIT
dominant-power durability: medium-high

POWER AUDIT · 7 POWERS

Scale Economies	#1 US volume; logistics density lowers cost/delivery; fixed ad/tech spread over the largest GOV base.
Network Economies · thesis leans here	The dominant Power: two-sided consumer↔merchant↔Dasher density flywheel.
Counter-Positioning	Was the suburban-first disruptor; incumbents have matched.
Switching Costs	DashPass + habit + saved data; modest (multi-homing is easy).
Branding	Strong US verb-status, not pricing-power branding.
Cornered Resource	No durable exclusive asset; the Dasher network is replicable.
Process Power	Logistics/ML routing + ETA accuracy — a real operational edge.

PEER SET

Uber Eats — 18% gr · ~16x EV/FCF
US #2 restaurants + global; bundles with mobility; richer EV/EBITDA.

Instacart (CART) — 10% gr · cheaper
US grocery-delivery leader; high-margin ads, slower GOV growth.

Grubhub — -5% gr · n/a
Distant #3 in US restaurants (<10% share); declining.

Amazon / Walmart — · varies
Grocery/retail-delivery scale — the New-Verticals threat.

THREAT VECTORS · FALSIFIERS

Scale Economies · Uber Eats (US share)
falsifier: DoorDash US restaurant share falls below 58% or Uber bundling erodes take rate.

Network Economies · Instacart (grocery)
falsifier: DASH grocery unit economics stay negative past 2026.

Counter-Positioning · Gig-worker regulation
falsifier: A major-state reclassification ruling structurally raises the Dasher cost base.

COMPETITIVE READ
DoorDash's network-economies + scale (logistics density) are dominant and durable in US restaurants (~60% share, >2x Uber Eats), and GOV is still compounding +27% — the 40% drawdown is a margin/SBC story, not a growth one. The terminal multiple hinges on whether advertising + New-Verticals scale lift the 2.4%-of-GOV margin without a price war, net of ~$1.3B/yr SBC dilution. At ~33x EV/FCF the 20%+ growth + margin inflection roughly cover the entry — fair, with the sign on the 2H'26 inflection.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

1 June 2026 · the quantitative

DoorDash show your work

Bear $103.28 Base $158.19 Bull $237.79 · Weighted $156.70 (-1.4%)

ULTRA BEAR $67.43

ASSUMPTIONS

5y revenue CAGR (%)	+6.2
Year-5 op margin (%)	7.0
WACC (%)	10.5
Terminal growth (%)	2.5
5y revenue CAGR (%)	+6.2
Starting revenue ($B)	13.72
Scenario probability (%)	15

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	14.82	+4%	+1.78	+1.61
FY27	15.85	+5%	+1.90	+1.56
FY28	16.81	+6%	+2.19	+1.62
FY29	17.65	+7%	+2.29	+1.54
FY30	18.53	+7%	+2.41	+1.46

Σ PV explicit FCF	+7.79
+ PV terminal (g 2.5%)	18.74

EQUITY BUILD · $B & PER SHARE

Operating EV	$26.53B
+ Cash & investments	$5.50B
= Equity value	$32.03B
FY30 shares (M)	475
= Expected per share	$67.43

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$111.09	$183.01	$301.50	$496.71
0.70×	1.15×	1.90×	3.12×

BEAR $103.28

ASSUMPTIONS

5y revenue CAGR (%)	+10.0
Year-5 op margin (%)	11.0
WACC (%)	10.0
Terminal growth (%)	3.0
5y revenue CAGR (%)	+10.0
Starting revenue ($B)	13.72
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	15.37	+6%	+2.15	+1.96
FY27	17.06	+8%	+2.56	+2.12
FY28	18.76	+10%	+3.00	+2.25
FY29	20.45	+11%	+3.27	+2.23
FY30	22.09	+11%	+3.53	+2.19

Σ PV explicit FCF	+10.75
+ PV terminal (g 3.0%)	32.29

EQUITY BUILD · $B & PER SHARE

Operating EV	$43.04B
+ Cash & investments	$5.50B
= Equity value	$48.54B
FY30 shares (M)	470
= Expected per share	$103.28

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$166.33	$267.88	$431.43	$694.82
1.05×	1.68×	2.71×	4.37×

BASE $158.19

ASSUMPTIONS

5y revenue CAGR (%)	+12.4
Year-5 op margin (%)	15.0
WACC (%)	9.5
Terminal growth (%)	3.5
5y revenue CAGR (%)	+12.4
Starting revenue ($B)	13.72
Scenario probability (%)	33

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	15.78	+8%	+2.52	+2.31
FY27	17.99	+11%	+3.24	+2.70
FY28	20.15	+13%	+3.83	+2.92
FY29	22.36	+15%	+4.47	+3.11
FY30	24.60	+15%	+4.92	+3.13

Σ PV explicit FCF	+14.16
+ PV terminal (g 3.5%)	53.90

EQUITY BUILD · $B & PER SHARE

Operating EV	$68.06B
+ Cash & investments	$5.50B
= Equity value	$73.56B
FY30 shares (M)	465
= Expected per share	$158.19

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$249.03	$392.03	$617.15	$971.54
1.57×	2.47×	3.88×	6.11×

BULL $237.79

ASSUMPTIONS

5y revenue CAGR (%)	+15.0
Year-5 op margin (%)	19.0
WACC (%)	9.0
Terminal growth (%)	4.0
5y revenue CAGR (%)	+15.0
Starting revenue ($B)	13.72
Scenario probability (%)	18

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	16.19	+10%	+2.91	+2.67
FY27	18.94	+14%	+3.79	+3.19
FY28	21.78	+17%	+4.79	+3.70
FY29	24.61	+19%	+5.66	+4.01
FY30	27.57	+19%	+6.34	+4.12

Σ PV explicit FCF	+17.69
+ PV terminal (g 4.0%)	85.72

EQUITY BUILD · $B & PER SHARE

Operating EV	$103.41B
+ Cash & investments	$5.50B
= Equity value	$108.91B
FY30 shares (M)	458
= Expected per share	$237.79

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$365.87	$562.94	$866.15	$1,332.67
2.30×	3.54×	5.45×	8.38×

ULTRA BULL $338.45

ASSUMPTIONS

5y revenue CAGR (%)	+18.0
Year-5 op margin (%)	22.0
WACC (%)	8.5
Terminal growth (%)	4.0
5y revenue CAGR (%)	+18.0
Starting revenue ($B)	13.72
Scenario probability (%)	7

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	16.74	+12%	+3.35	+3.09
FY27	20.09	+16%	+4.62	+3.92
FY28	23.70	+20%	+5.93	+4.64
FY29	27.49	+22%	+7.15	+5.16
FY30	31.34	+22%	+8.15	+5.42

Σ PV explicit FCF	+22.23
+ PV terminal (g 4.0%)	125.25

EQUITY BUILD · $B & PER SHARE

Operating EV	$147.48B
+ Cash & investments	$5.50B
= Equity value	$152.98B
FY30 shares (M)	452
= Expected per share	$338.45

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$508.91	$765.23	$1,150.64	$1,730.17
3.20×	4.81×	7.24×	10.88×

DoorDash People · Opportunity · Context · Deal

Bear $103.28 Base $158.19 Bull $237.79

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Tony Xu · founder-led — 13 yrs in seat

12% insider ownership

HIGH key-person risk

Capital allocation (realized)
Growth-by-stock: the $8.1B all-stock Wolt deal (2022) took DoorDash to 27 countries, plus 2025 bolt-ons (Deliveroo, SevenRooms) — capital goes to expansion, funded with equity (dilutive). Buybacks authorized ($1.1B 2024 → only $224M used; $5B 2025 → little executed by mid-year): intent ahead of action. Heavy SBC.

Incentive alignment
Pay-for-performance via the 2020 CEO award (10.4M shares, ~3.5%) that vests only as the stock clears escalating price targets (up to $501 by 2027) — $0 vested in FY2024 when targets were unmet; FY2024 cash comp was a nominal ~$300k salary with no new equity.

GOVERNANCE FLAGS

- multi-class super-voting (Class B = 20 votes) → founders ~54% of votes, all directed by Xu via irrevocable proxy
- CEO + Chairman combined; controlled-company eligible but does not use the exemptions
- classified board; 2021 ISS / Glass Lewis pushback on the structure + pay
- sunset is event / ownership-triggered (no fixed date)

> PEOPLE READ
> Founder-CEO paid only on escalating price hurdles ($0 vested when unmet) and not leaning on the controlled-company exemptions — but the ~54% founder vote is concentrated in one person via an irrevocable proxy, buyback intent has outrun execution, and growth has been bought with dilutive stock.

THE FOUR LEGS

People — 3 of 5
observable composite · 1–5

Opportunity
§6c scenarios · Page-3 business snapshot · §13 AI (DASH 6.48)

Context
§6d 7 Powers (Power Audit)

Deal
Open-market purchase = the deal: entry price vs. the §6c scenario distribution (the −1% finding, fairly valued) + §12 sizing.

DoorDash supporting analysis · disclaimers · glossary

Bear $103.28 Base $158.19 Bull $237.79

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **GOV still compounding +27%.**
Down 40% on a margin/SBC concern, not a growth one — GOV $102B (+27%), Q1'26 +37%; the network keeps scaling.

2 **US #1 with network + scale density.**
~60% US restaurant share, >2x Uber Eats; logistics density is a genuine cost moat.

3 **Advertising is the high-margin lever.**
~$1B run-rate, near-100% incremental margin — the single biggest margin-inflection driver.

4 **Net cash $5.5B; first +FY GAAP income 2024.**
Profitability inflected ($123M 2024 → $935M 2025); self-funding, buying back stock.

5 **New Verticals + international optionality.**
Grocery unit economics guided positive 2H'26; Deliveroo/Wolt add 9 countries — TAM expansion.

FALSIFICATION TRIGGERS

Bull validation
grocery/retail unit economics turn positive (2H'26) · advertising passes $1.5B run-rate · GOV margin rises above 3.5% · GOV stays mid-teens+

Bear validation
US restaurant share falls below 58% · grocery stays margin-negative past 2026 · SBC stays >$1.3B/yr · Uber Eats gains share

Reframe needed
if gig-worker reclassification structurally raises the Dasher cost base, re-rate the unit economics + terminal margin

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

GOV / take rate — Gross order value (~$102B FY25) x ~13.4% take = revenue; the two metrics that drive the model.

New Verticals — Grocery / convenience / retail delivery — the fastest-growing, margin-dilutive-today segment guided to positive unit economics 2H'26.

Network economies — Helmer Power: more consumers → more merchants/Dashers → density → speed/selection; the core moat.

SBC dilution — Stock-based comp ~$1.3-1.4B/yr (> GAAP net income) — modeled here as a rising share count; the sharpest bear point.

FCF margin — Free cash flow / revenue (~13% FY25, inflecting); the mature-DCF lever as ads + New Verticals scale.